

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and
SYLVIA ROBLEDO d/b/a 81st DOLPHIN PARKING**

Complainants

v.

**THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES and THE GALVESTON PORT FACILITIES
CORPORATION**

Respondents

**COMPLAINANTS' EXCEPTIONS TO AND APPEAL OF
INITIAL DECISION ON REMAND
OF NOVEMBER 16, 2018**

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EXCEPTIONS TO AND APPEAL OF INITIAL DECISION ON REMAND

Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking; Lighthouse Parking, Inc.; and Sylvia Robledo d/b/a 81st Dolphin Parking (collectively “Complainants”), pursuant to Federal Maritime Commission (“FMC” or “Commission”) Rule 227, 46 C.F.R. § 502.227, through undersigned counsel, file these exceptions and appeal the Administrative Law Judge’s (“ALJ”) Initial Decision on Remand (“IDR”) of November 16, 2018 in this matter. As set forth in the exceptions and bases for appeal herein, the IDR fails to address the issues identified through remand from the United States Court of Appeals for the District of Columbia Circuit (“D.C. Circuit”), fails to address certain claims made by Complainants of violations of the Shipping Act of 1984, reveals mistaken interpretations of Complainants’ arguments, and improperly applies the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281, § 402, 128 Stat. 3022, 3056 (Dec. 18, 2014) (“Coble Act”) to this matter. The Commission should reverse the IDR on the points outlined herein, and reinstate the Complaint, providing for its amendment if necessary, so that this long-delayed proceeding may advance for a decision on its merits.

SCOPE OF REMAND

Upon Complainants’ petition, the D.C. Circuit took up Complainants’ appeal of the Commission’s January 13, 2017 *Order Affirming Initial Decision’s Dismissal of Complaint* (“*Santa Fe Commission Affirmance*”). In its May 11, 2018 Opinion written by now Justice Kavanaugh, the D.C. Circuit identified that Complainants’ claims against Respondents arise under Section 41106(2) of the Shipping Act of 1984, which provides that a marine terminal operator, such as Respondents, may not “give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person.” *Santa Fe Discount Cruise Parking, Inc. v. Federal Maritime Commission*, 889 F.3d

795, 796 (D.C. Cir. 2018)(quoting 46 U.S.C. § 41106(2)). The D.C. Circuit Opinion also identified the elements and respective burdens of proof for Complainants' claims, as follows:

“To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that showing, the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.”

Santa Fe Disc. Cruise Parking, Inc., 889 F.3d at 796 (citing *Ceres Marine Terminal, Inc. v. Maryland Port Administration (Ceres I)*, 27 S.R.R. 1251 (FMC 1997)). Against this backdrop, the D.C. Circuit went on to identify that Complainants' burden was met, and that “[Complainants'] shuttle buses were treated differently than taxis and limos,” and “[Complainants] were plainly injured when they were charged more than the other commercial passenger vehicles.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 797.

After recognizing and identifying that Complainants met their Section 41106(2) burden, the D.C. Circuit provided that Respondents “may be able to show that the differential treatment of [Complainants'] shuttle buses is justified by legitimate transportation factors,” but “the Commission never reached that step of the analysis.” *Id.* In light of the Commission not reaching that part of the analysis, the D.C. Circuit ordered that “the order of the Federal Maritime Commission be vacated, and the case be remanded for further proceedings, in accordance with the opinion of the court filed herein this date.”

Accordingly, all that remains to be determined is whether Respondents, in the record, had justified the differential treatment of Complainants as opposed to taxicabs and as opposed to limousines, by legitimate transportation factors. The record shows that Respondents have never addressed the differential treatment of Complainants as compared to limousines, and merely put

forth contradictory explanations for their different treatment of Complainants as compared to taxicabs.

BRIEF OVERVIEW OF COMPLAINANTS' CLAIMS

As outlined more fully in the Complaint, Complainants are Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking ("EZ Cruise"), Lighthouse Parking, Inc. ("Lighthouse"), and Sylvia Robledo d/b/a 81st Dolphin Parking ("81st Dolphin"). Complainants have each owned and operated private parking lot businesses near the Port of Galveston, serving passengers of cruise ships that have called on that port since as early as 2005.¹ Respondents are the Board of Trustees of the Galveston Wharves (the "Wharves Board") and the Galveston Port Facilities Corporation ("GPFC") (collectively "Respondents"). The Wharves Board has been authorized by the City of Galveston to manage and control the Port of Galveston's wharf and terminal facilities. GALVESTON, TEX., CHARTER, art. XII, §§ 1-2 (designating Galveston Wharves as a "separate utility" of the City of Galveston to be managed by the Board of Trustees of the Galveston Wharves); *see also* TEX. TRANSP. CODE § 54.003(a).

The Complaint alleges facts establishing disparate treatment of Complainants under Respondents' Tariff. Indeed, Respondents recognized this fact on September 22, 2014, when the then complained-of discriminatory Tariff, charging Complainants' \$28.88 per parking space per month, was abandoned in favor of an "amendment [that] would treat everybody the same." (Comp. App. 030, at 000536-537.) Respondents also admit to disparate treatment of certain cruise terminal users by allowing limousines free access to the Cruise Terminal in violation of the Tariff, and charging other Cruise Terminal users the minimum rate under the Tariff in violation of applicable rates. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.)

¹ Complainant EZ Cruise commenced operations in December of 2003, Complainant Lighthouse commenced operations in 2005, and Complainant 81st Dolphin opened for business in 2006 (transferring to its current location in May 2009). *See* Resp. Corr. Obj. to Comp. PFF, ¶¶ 1, 10, and 1,7 at pp.2, 5, and 7.

SUMMARY OF THE EXCEPTIONS AND APPEAL

Complainants appeal the dismissal of their claims and take exception to the ALJ's failure to address the issues identified through remand from the D.C. Circuit—and directly to the ALJ pursuant to the ALJ's August 17, 2018 Order requesting same—and violations of the Shipping Act as alleged in their Complaint and submitted briefs. Complainants also take exception to the ALJ's conclusion that Respondents' disparate treatment of Complainants which granted preferential treatment to other Cruise Terminal users and prejudicial treatment to Complainants was within the realm of a reasonable, discretionary business decision, when such conclusion is based solely on the fact that Complainants were charged per-space per-month, and some other users were required by the Tariff to be charged per trip for access. This assessment again fails to consider the several other claims of Section 41106(2) violations raised by Complainants, including the fact that the Tariff was selectively enforced and that other Cruise Terminal users were excluded from being charged Access Fees under the Tariff. Complainants further take exception to the ALJ's determination that Complainants do not meet the *Ceres I* elements. Finally, Complainants take exception to the ALJ's assertion that the Coble Act applies to this matter.

In addition to the above, Complainants take exception to the following particular statements made in the IDR:

1. Complainants take exception to the following statement on page 3 of the IDR:

The Port continued to impose access fees on other commercial passenger vehicles accessing the cruise terminal at the per trip rate.

This statement fails to acknowledge the Port's selective enforcement of the Tariff as then written and in force, and further fails to acknowledge the preferential treatment of limousines, hotels,

and buses in violation of the published Tariff. (*See* Comp. Reply Br. at 6-7; Resp. Corr. Br. at 21, fn.5 and 23, fn.6.)

2. Complainants take exception to the following statement on page 3 of the IDR:

The June 16, 2014, FMC Complaint alleges that the Port violated the Shipping Act, 46 U.S.C. §§ 40101-41309, by charging Complainants at the \$8.00 flat rate while continuing to charge access fees for other commercial passenger vehicles at the per trip rate, thereby allegedly giving an undue or unreasonable preference or advantage to the other users and/or imposing an undue or unreasonable prejudice or disadvantage with respect to Complainants in violation of sections 41102(c), 41106(2), and 41106(3) of the Act.

This statement fails to acknowledge several of the allegations of Shipping Act violations contained in the Complaint and discussed in Complainants' briefing. For example, it fails to acknowledge that the Tariff only precludes Complainants, as Off-Port Parking Users, from utilizing taxicabs and limousines—which are/were exempted from being charged Access Fees—to transport their customers to and from the Cruise Terminal without accruing Access Fees.

3. Complainants take exception to the following statement on page 8 of the IDR:

... Complainants have not established *Ceres I* Element 3 when compared to either hotels or taxicabs; that is, Complainants have not proved that the unequal treatment is not justified by differences in transportation factors.

This statement misapplies *Ceres I* Element 3 by placing the burden on Complainants to prove that the unequal treatment is not justified by differences in transportation factors, as that burden rests squarely and solely on Respondents. As written, this statement directly contradicts the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC. In that Order, Justice Kavanaugh wrote: “To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that

showing, the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796. Moreover, in identifying the several elements comprising a violation of Section 41106(2), *Ceres I* specifically states that “[t]he complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres I*, 27 S.R.R. at 1270-71. Accordingly, it is Respondents’ burden to show that “the unequal treatment is not justified by differences in transportation factors.”

4. Complainants take exception to the following statement on page 9 of the IDR:

Complainants, the hotels, and taxicabs operate commercial passenger vehicles.

This statement is incomplete in that it omits reference to limousines, which are central to the remaining claims in this matter, and are also “commercial passenger vehicles” pursuant to the Tariff. (*See* IDR at 22-23, Nos. 15-17.)

5. Complainants take exception to the following statement on page 9 of the IDR:

Complainants, the hotels, and taxicabs are ground transportation companies.

This statement is incomplete in that it omits reference to limousines, which are central to the remaining claims in this matter, and are also “ground transportation companies.” (*See* IDR at 9.)

6. Complainants take exception to the following statement on page 13 of the IDR:

On June 16, 2014, Complainants initiated this proceeding by filing a complaint alleging that the Port violated the Shipping Act when it calculated Complainants’ access fees at the \$8.00 flat rate while calculating access fees for other ground transportation companies at the per trip rate.

This statement fails to acknowledge several of the allegations of Shipping Act violations contained in the Complaint and discussed in Complainants’ briefing.

7. Complainants take exception to the following statement on page 14 of the IDR:

The June 16, 2014, Complainants alleges that by imposing access fees on them at the rate of \$8.00 per parking space per month while at the same time charging other commercial passenger vehicles for each trip, the Port violated three sections of the Act.

This statement fails to acknowledge several of the allegations of Shipping Act violations contained in the Complaint and discussed in Complainants' briefing.

8. Complainants take exception to the following statement on page 25 of the IDR:

26A. Common carriers such as taxicabs are not off-port parking users.

The IDR defines a "common carrier" pursuant to 46 U.S.C. § 40102(6). Taxicabs do not meet that definition. (IDR at 16.)

9. Complainants take exception to the following statement on pages 27-28 of the IDR:

47. The Port had invoiced EZ Cruise for 8,793 trips at \$10.00 per trip, a total of \$87,930.00, for access to the port between January 2005 and June 2006. As a result of the application of the \$8.00 per space per month access provision, EZ Cruise paid \$35,680.00 for access between January 2005 and June 2006 (equivalent to \$4.06 per trip), saving \$52, 250.00.

This statement fails to account for the fact that, pursuant to the Tariff in force at the relevant time, limousines were not to be charged Access Fees. Of the 8,793 trips allocated to EZ Cruise, 4808 were made by a limousine (\$48,080.00 of the charges levied on EZ Cruise were for limousine access to the Cruise Terminal). Were it not for Respondents' disparate treatment of Complainants in violation of the Shipping Act, the trips made and charges accrued by Galveston Limo would not have been billed to EZ Cruise. (*See* Comp. Reply Br. at 18-20.)

10. Complainants take exception to the following statement on page 34 of the IDR:

80. Between August 28, 2006, and October 1, 2014, Note D of Tariff Circular No. 6 did not provide a mechanism to determine "billable parking spaces" for hotels providing parking to cruise passengers with transportation to and from the cruise terminal.

Throughout the time period identified in the IDR's Findings of Fact number 80, Note D of Tariff Circular No. 6 required all "Off-Port Parking Users," as defined within the Tariff, to be charged

a flat rate monthly Access Fee. The mechanism by which this Access Fee was to be calculated was through periodic inspection by the Galveston Wharves, wherein the number of parking spaces located in Off-Port Parking Users' facilities would be multiplied by \$8.00, resulting in each Off-Port Parking User's monthly Access Fee. (IDR at 27.)

11. Complainants take exception to the following statement on page 35 of the IDR:

84. Without a change to City of Galveston taxicab regulations, an access fee imposed on taxicabs by the Port of Galveston could not be passed on to passengers.

This statement is overbroad in that it considers only access to the cruise terminal by taxicabs licensed by the City of Galveston. City of Galveston taxicab regulations would not apply to taxicabs licensed in other municipalities and bringing cruise passengers to the Port from surrounding areas. (*See* IDR at 29; *but see id.* at 31.)

12. Complainants take exception to the following statement on page 38 of the IDR:

***Ceres I* Element 3 requires a complainant to show that “the unequal treatment is not justified by differences in transportation factors.”**

This statement directly contradicts FMC precedent and the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC. In that Order, Justice Kavanaugh wrote: “To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that showing, the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796. Moreover, this excepted-to statement is incomplete, in that the cited case from which the quote is taken contradicts this excepted-to statement. Specifically, the very next sentence provides: “The

complainant has the burden of proving that it was subjected to different treatment and was injured as a result and **the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.**” *Ceres I*, 27 S.R.R. at 1270-71 (emphasis added). Accordingly, it is Respondents’ burden to show that “the unequal treatment is not justified by differences in transportation factors.”

13. Complainants take exception to the following statement on page 41 of the IDR:

After a year of negotiations the Port agreed to charge Complainants a flat monthly rate for unlimited access, ALJFF 37, thereby greatly reducing the access fees paid by Complainants for the first 18 months that the Port collected access charges and for the future.

Complainants take exception to this statement based on the fact that (a) it is supported only by the ALJ’s assumptions as to the number of times Complainants accessed the Cruise Terminal after the first 18 months; and (b) fails to account for Respondents’ selective enforcement of the Tariff, and the disadvantage of being arbitrarily designated an “Off-Port Parking User,” namely, that while hotels could arrange for taxicabs and limousines to transport their customers to and from the Cruise Terminal without incurring Access Fees, Complainants could not. (*See* IDR at 24; *see also e.g.*, Comp. Reply Br. at 18-20; Resp. Corr. Br. at 21, fn.5 and 23, fn.6.)

14. Complainants take exception to the following statement on page 41 of the IDR:

The unlimited access provision in the \$8.00 flat rate provided a significant transportation advantage to Complainants.

Complainants take exception to this statement as being an incomplete assessment of the circumstances and evidence. Any “advantage” that this fee schedule purportedly grants to Complainants must be weighed against the disadvantage suffered as a result of Respondents’ selective enforcement of the Tariff and the disadvantage of being arbitrarily designated an “Off-Port Parking User,” namely, that while hotels could arrange for taxicabs and limousines to transport their customers to and from the Cruise Terminal without incurring Access Fees,

Complainants could not. (See IDR at 24; *see also e.g.*, Comp. Reply Br. at 18-20, 30-31; Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) Where Respondents routinely practiced selective enforcement of the Tariff by allowing free access and greatly reduced access to other Cruise Terminal users, but never to Complainants, it can hardly be said that Complainants enjoyed an “advantage.” Moreover, it wholly fails to consider the exemptions provided by the Tariff to taxicabs and limousines, and that the Tariff precluded Complainants from arranging for the exempted taxicabs and limousines to transport their customers to and from the Cruise Terminal.

15. Complainants take exception to the following statement on page 41 of the IDR:

Hotels, on the other hand, were charged an access fee each time their vehicles entered the port.

Complainants take exception to this statement because the record reflects, Complainants have shown, and Respondents have admitted that hotels were not charged an Access Fee each time their vehicles entered the Cruise Terminal. (Comp. Reply Br. at 30-31.)

16. Complainants take exception to the following statement on page 42 of the IDR:

Complainants do not identify any contemporary evidence to support a finding that during the negotiations between Complainants and the Port to resolve the access fees invoiced for the period January 2005 through June 2006 and development of the \$8.00 flat rate, either Complainants or the Port contemplated applying the flat rate to hotels offering parking for cruise passengers.

Complainants have shown that Respondents, not Complainants, defined “Off-Port Parking Users” in the Tariff. Complainants would further show that Respondents, not Complainants, then required “Off-Port Parking Users” to pay Access Fees in accordance with Note D of Tariff circular No. 6. Beyond what applied to Complainants’ negotiation positions alone, they had no say in the designation of fee schedules for other Cruise Terminal users or otherwise in the writing of the Tariff. Respondents did not consult with Complainants regarding Respondents’

intentions or reasons for allocating Access Fees as they saw fit for local hotels/motels, taxicabs, limousines, buses, or any other Cruise Terminal user.

17. Complainants take exception to the following statement on page 42 of the IDR:

Complainants do not identify any evidence supporting a finding that the hotels they argue should have been assessed access fees calculated at the \$8.00 flat rate – Holiday Inn, Moody Gardens, Comfort Inn & Suites on the Beach, and the other hotels identified in ALJFF 81 – were start-up companies such as EZ Cruise for which the flat rate would be much easier to budget.

The above statement implies that the Tariff's definition of "Off-Port Parking Users" was limited to "start-up companies." Complainants were not privy to the contents of, and issues raised in the tariff negotiations that took place, if any, between Respondents and other Cruise Terminal users. The definition clearly covered hotels that provided parking for cruise passengers.

18. Complainants take exception to the following statement on page 42 of the IDR:

Complainants do not identify any evidence supporting a finding that when the Port amended the tariff, it intended to apply the flat rate to hotels in lieu of the per trip rate already applicable to hotel shuttles...

Complainants briefing did not attempt to prove Respondents' intentions, merely their violations of the Shipping Act. Complainants did not draft the Tariff; Respondents did. In fact, the definition of "Off-Port Parking Users" was present and clear in the Tariff before Respondents amended it to require all "Off-Port Parking Users" to pay Access Fees based on the number of parking spaces in their lots.

19. Complainants take exception to the following statement on page 42 of the IDR:

There is no mechanism established by the tariff to determine billable parking spaces for hotel operators that provide parking and transportation for the small percentage of their customers who leave their vehicles in hotel lots while they cruise...

As quoted in the IDR, Note D of the Tariff provides in pertinent part, that "Off-Port Parking Users, as defined herein . . . shall, in lieu of the Access/Trip fee, be subject to a monthly Access

Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves." (IDR at 14.)

20. Complainants take exception to the following statement on page 43 of the IDR:

(4) the \$8.00 flat rate does not provide a mechanism to determine the number of billable parking spaces for these hotels; (5) ... developing a mechanism to determine access fees for determining the billable parking spaces of hotels that use only a small percentage of their parking spaces for cruise passenger is virtually impossible; and (5) there is no contemporaneous evidence that either the Port or Complainants intended to require these hotels to use the \$8.00 flat rate in lieu of the \$10.00 per trip access fee when the flat rate was adopted.

As quoted in the IDR, Note D of the Tariff provides in pertinent part, that "Off-Port Parking Users, as defined herein . . . shall, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves." (IDR at 14.) Complainants also contend that the development of a mechanism to determine the billable parking spaces for hotels is far from a virtual impossibility. As identified above, Complainants contend that a mechanism already exists in the Tariff, but, while Complainants do not intend to conduct a feasibility study, they would suggest that rather simple measures are available as additional solutions. For instance, the hotels that contend a mere 3% of their guests park at the hotels' lots rather than at Complainants' lots during cruises, could easily section off 3% of their parking and identify it as "cruise passenger parking." Furthermore, violations of this nature are not dependent upon the intent of the violator; the existence of the Tariff as devised and written by Respondents is contemporary evidence of Respondents' contemplated intent.

21. Complainants take exception to the following statement on page 47 of the IDR:

Complainants have established that they were treated differently than the hotels and taxicabs.

This statement is incomplete in that it fails to identify that Complainants have also established that they were treated differently than limousines. (IDR at 37-38.) Such different treatment is three-fold: (1) limousines were not charged access fees under the 2003 Tariff, while Complainants were; (2) limousines with a seating capacity of not more than eight persons were not charged access fees under the 2007 amendment to the Tariff, while Complainants were; (3) Respondents selectively enforced the Tariff—allowing limousines to access the Cruise Terminal without being charged pursuant to the Tariff, while consistently enforcing the Tariff against Complainants. (*See* Comp. Reply Br. at 30-31; Resp. Corr. Br. at 21, fn.5 and 23, fn.6.)

22. Complainants take exception to the following statement on page 47 of the IDR:

In this case, however, as set forth more fully below, the evidence supports a finding that when Complainants are compared to the hotels, Complainants *benefitted* from the use of the \$8.00 per space per month flat rate and that it gave them a preference or advantage over the hotels.

This statement fails to consider Respondents' selective enforcement of the Tariff upon hotels, whereupon hotel shuttles were charged, if at all, the minimum Access Fee prescribed to any vehicle accessing the Cruise Terminal, without regard to the Tariff rate required for the hotels' specific vehicles. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) There is no support for a claim stating that Complainants benefitted by being charged full Access Fees in accordance with the Tariff while hotels were charged minimum Access Fees in violation of the Tariff. The ALJ is likewise unsupported in concluding that Complainants benefitted by being charged as Off-Port Parking Users, when hotels could arrange for limousines and taxicabs to transport their customers to and from the Cruise Terminal without being charged Access Fees, but Complainants could not. (Comp. Reply Br. at 18-20; *see id.* at 29-32.)

23. Complainants take exception to the following statement on page 47 of the IDR:

The evidence in the record would not support a finding that Complainants were prejudiced or disadvantaged by the flat rate as compared to the per access rate for the years between 2006 and 2014 when the Port amended the tariff to eliminate the \$8.00 per parking place per month charge for off-port parking users.

This statement overlooks significant evidence in the record, and fails to consider (1) the fact that the Tariff exempted taxicabs and limousines from paying Access Fees; and (2) the fact that Respondents admit to selective enforcement of the Tariff as to all categories of Commercial Passenger Vehicles accessing the Cruise Terminal other than Complainants. (*See* Comp. Reply Br. at 18-20, 26, and 29-32.) Further, this statement overlooks the fact that Complainants, as “Off-Port Parking Users,” were charged per space Access Fees even if they arranged for their customers to be transported in and out of the Cruise Terminal by Commercial Passenger Vehicles that were exempted from paying Access Fees under the Tariff, such as taxicabs and limousines. (*See e.g.*, IDR at 24, Nos. 22-25; Comp. Reply Br. at 18-20.) As was made clear by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC, by being charged more (both pursuant to the Tariff and in violation of the Tariff through selective enforcement), Plaintiff’s were prejudiced and disadvantaged. *See Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97 (“The Port charged Petitioners’ shuttle buses more than the Port charged taxis and limos. ... The Federal Maritime Commission accepted that Petitioners’ shuttle buses were treated differently than taxis and limos. But the Commission then strangely concluded that Petitioners were not injured by being charged more. The Commission’s conclusion is not sustainable. Petitioners were plainly injured when they were charged more than the other commercial passenger vehicles.”).

24. Complainants take exception to the following statement on page 48 of the IDR:

In this proceeding, Complainants have the burden of proving that they paid more because the Port charged them using the \$8.00 flat rate than they would have been paid that they been charged for each access.

This statement fails to recognize Complainants' claims. Complainants' burden is to prove that they paid more by virtue of the disparate treatment accorded Complainants by Respondents. Such disparate treatment includes the fact that the Tariff exempted taxicabs and limousines from being charged Access Fees, while charging Access Fees to Complainants. Additionally, the Tariff allowed hotels to arrange for their customers to be transported to and from the Cruise Terminal via taxicabs and limousines without being charged Access Fees, but precluded Complainants from doing the same. Such disparate treatment also includes the admitted fact that, after Respondents recognized that there were no legitimate transportation factors allowing them to exempt limousines from paying Access Fees, the Tariff was amended to charge Access Fees to limousines. Thereafter, Respondents, through selective enforcement of the Tariff, did not collect Access Fees from limousines, all while consistently collecting full Access Fees from Complainants. Similarly, Respondents selectively enforced the Tariff as to all categories of Commercial Passenger Vehicles accessing the Cruise Terminal, with the exception of Complainants. Accordingly, Complainants' burden is to prove that they paid more by virtue of paying Access Fees than did other Commercial Passenger Vehicles which did not pay Access Fees. As recognized by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC: "[t]he Port charged Petitioners' shuttle buses more than the Port charged taxis and limos;" and "Petitioners were plainly injured when they were charged more than the other commercial passenger vehicles." *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97.

25. Complainants take exception to the following statement on page 54 of the IDR:

Complainants' argument does not prove Complainants were prejudiced or disadvantaged and suffered actual injury.

As recognized by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC: "[t]he Port charged Petitioners' shuttle buses more than the Port charged taxis and limos;" and

“Petitioners were plainly injured when they were charged more than the other commercial passenger vehicles.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97.

26. Complainants take exception to the following statement on page 59 of the IDR:

Assuming that the Port violated section 41106(2) when it calculated Complainants’ access fees using the \$8.00 flat rate, Complainants’ argument does not prove by a preponderance of the evidence that Complainants suffered actual injury from the use of the flat rate instead of the per access rate.

This statement fails to recognize Complainants’ claims and the injuries suffered. Complainants’ burden is to prove that they were injured by virtue of Respondents’ violations of the Section 41106(2) of the Shipping Act. Complainants’ have proven through evidence in the record that they were injured by being charged Access Fees when other Commercial Passenger Vehicles were not charged (both pursuant to and in violation of the Tariff), and by paying full Access Fees when other Commercial Passenger Vehicles, by virtue of Respondents’ admitted selective enforcement of the Tariff, were either not charged Access Fees at all, or not charged full Access Fees. Additionally, unlike hotels, Complainants were not allowed to avoid paying Access Fees by arranging for taxicabs and limousines to transport their customers to and from the Cruise Terminal. Moreover, as recognized by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC: “[t]he Port charged Petitioners’ shuttle buses more than the Port charged taxis and limos;” and “*Petitioners were plainly injured when they were charged more than the other commercial passenger vehicles.*” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97 (emphasis added).

27. Complainants take exception to the following statement on page 59 of the IDR:

As a result of the application of the \$8.00 flat rate, EZ Cruise paid \$35,680.00 (equivalent to \$4.06 per trip) for access between January 2005 and June 2006, saving \$52,250.00, or more than 59%.

This statement fails to account for the fact that, pursuant to the Tariff in force at the subject time period, limousines were exempt from being charged Access Fees. (*See* IDR at 25.) Of the 8,793 trips allocated to EZ Cruise, 4808 were made by a limousine (\$48,080 of the charges levied were for third-party limousines arranged by EZ Cruise to transport customers to the Cruise Terminal). Were it not for Respondents' disparate treatment of Complainants as "Off-Port Parking Users" in violation of the Shipping Act, the trips made and charges accrued by Galveston Limo would not have been billed to EZ Cruise by virtue of the fact that they "arranged" for same.

28. Complainants take exception to the following statement on page 63 of the IDR:

Complainants did not subsidize other users as a result of the May 19, 2014, increase in the flat rate to \$28.88.

This is a misstatement of Complainants' claims regarding subsidization of other Cruise Terminal users' use of the Cruise Terminal. Complainants claim that by virtue of the Tariff exempting taxicabs and limousines from paying Access Fees—and by allowing hotels to avoid paying Access Fees by arranging for those taxicabs and limousines to transport their customers to and from the Cruise Terminal, while not permitting Complainants to do same—and by virtue of the admitted fact that Respondents, while consistently charging Complainants full Access Fees, for years allowed limousines and other Commercial Passenger Vehicles to make the same use of the Cruise Terminal as Complainants, but without paying full or any Access Fees. By being forced to pay for the service while other Commercial Passenger Vehicles were not charged, Complainants subsidized those other Commercial Passenger Vehicles' use of the Cruise Terminal.

29. Complainants take exception to the following statement on page 63 of the IDR:

Therefore, I conclude that Complainants have not proved that they were prejudiced or disadvantaged and suffered actual injury from the Port's use of the \$8.00 flat rate instead of the per trip to calculate their access fees.

This statement fails to recognize Complainants' claims and the injuries suffered. Complainants' burden is to prove that they were injured by virtue of Respondents' violations of the Section 41106(2) of the Shipping Act. Complainants' have proven through evidence in the record that they were injured by being charged Access Fees when other Commercial Passenger Vehicles were not charged (both pursuant to and in violation of the Tariff), and by paying full Access Fees when other Commercial Passenger Vehicles, by virtue of Respondents' admitted selective enforcement of the Tariff, were not charged full Access Fees. Moreover, as recognized by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC: "*[t]he Port charged Petitioners' shuttle buses more* than the Port charged taxis and limos;" and "*Petitioners were plainly injured when they were charged more* than the other commercial passenger vehicles." *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97 (emphasis added).

30. Complainants take exception to the following statement on page 64 of the IDR:

If Complainants are found to be entitled to a reparation award because the Port Violated section 41106(2) by using the \$8.00 flat rate to determine Complainants' access fees and using the per trip rate to determine the hotels' access fees, the effect of the Act's statute of limitations arises.

This statement fails to recognize that Complainants' claims are not limited to those violations committed by Respondents as pertain to hotels alone, but as to all Commercial Passenger Vehicles identified in the Tariff. Moreover, this statement also fails to recognize Complainants' claims and the injuries suffered. Complainants' burden is to prove that they were injured by virtue of Respondents' violations of the Section 41106(2) of the Shipping Act. Complainants' have proven through evidence in the record that they were injured by being charged Access Fees when other Commercial Passenger Vehicles were not charged (both pursuant to and in violation of the Tariff), and by paying full Access Fees when other Commercial Passenger Vehicles, by virtue of Respondents' admitted selective enforcement of the Tariff, were not charged full

Access Fees. Moreover, as recognized by the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC: “[t]he Port charged *Petitioners’ shuttle buses* more than the Port charged taxis and limos;” and “*Petitioners were plainly injured when they were charged more* than the other commercial passenger vehicles.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796-97 (emphasis added).

31. Complainants take exception to the following statement on page 65 of the IDR:

Because the Port records are subject to review under state law, with due diligence [Complainants] could have discovered that the hotels were charged on a per trip rate, not the \$8.00 flat rate. Therefore, the statute of limitations bars a claim for a reparation award for based on the different treatment of hotels for conduct occurring before June 16, 2011.

This statement fails to address or account for the admitted fact that Respondents engaged in selective enforcement of the Tariff. Such conduct included failing to charge hotels Access Fees as required by the Tariff, while consistently charging Complainants the full Access Fees identified in the Tariff. This statement further ignores the fact that hotels, by not being designated as “Off-Port Parking Users,” were allowed and did avoid being charged Access Fees by arranging for taxicabs and limousines to transport their customers to and from the Cruise Terminal, while the Tariff precluded Complainants from doing the same.

32. Complainants take exception to the following statement on page 68 of the IDR:

Complainants have not proved by a preponderance of the evidence that the Port has violated section 41106(2) of the Shipping Act by calculating Complainants’ access fees at the rate of \$8.00 per parking space per month. Therefore, Complainants’ Complaint is dismissed with prejudice.

This Conclusion fails to address several of the violations identified and proven by Complainants, and further fails to address the issues for which this matter was remanded by the D.C. Circuit.

DISCUSSION

I. LEGAL STANDARDS

A. COMMISSION RULE OF PRACTICE AND PROCEDURE 227

Commission Rule 227 provides that any party may file an appeal or exceptions within twenty-two (22) days of an initial decision. The Commission reviews an initial decision *de novo*. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 33 S.R.R. 543, 553 (F.M.C. 2014) (quoting 46 C.F.R. § 502.227(a)(6); *see also Dep't. of Defense v. Matson Navigation Co.*, 17 S.R.R. 671, 674 (F.M.C. 1977) (reviewing a dismissal *de novo*). With *de novo* review, the Commission must “[consider] the case anew, the same as if it had not been heard before, and as if no decision previously had been rendered, and giving *no deference* to the [ALJ’s] determinations.” *McComish v. Bennett*, 611 F.3d 510, 519-20 (9th Cir. 2010) (internal quotes omitted) (emphasis added), *rev’d on other grounds*, 131 S.Ct. 2806 (2011).

Although several issues in this matter had already been ruled upon by the FMC, and upon remand only certain issues remained, because the ALJ determined to reintroduce the entirety of the live Complaint in the IDR, and out of an abundance of caution given the nature of *de novo* review, Complaints are compelled to address all issues raised in the IDR, rather than only those remanded by the D.C. Circuit Court of Appeals.

B. SHIPPING ACT VIOLATIONS ALLEGED IN THE FIRST AMENDED VERIFIED COMPLAINT

Complainants filed their original Verified Complaint in June of 2014, alleging violations as outlined above. On September 22, 2014, admitting the validity of Complainants’ allegations regarding disparate treatment of Complainants, both under and in violation of the Tariff, Respondents withdrew the May 19, 2014 amendment to the Tariff, removing the \$28.00 per space per month Access Fee for Off-Port Parking Users. In response to Respondents’ attempt to

make Complainants' allegations of Shipping Act violations moot, Complainants filed their First Amended Verified Complaint on October 24, 2014. Unless otherwise identified, any reference hereafter to Complainants' "Complaint" refers to Complainants' First Amended Verified Complaint.

In the First Amended Verified Complaint, Complainants identified violations of Sections 41102(c), 41106(2), and 41106(3) of the Shipping Act.

Complainants allegations of Respondents' violations of sections 41102(c) and 41106(3) of the Shipping Act were summarily dismissed with prejudice by the ALJ in the November 21, 2014 *Order on Pending Motions and Partial Dismissal*, wherein all of Complainants claims and allegations were subject to summary dismissal with prejudice by application of the Shipping Act as it existed before the December 18, 2014 enactment of the Coble Act.

1. Unreasonable Preference or Advantage, and/or Imposing Undue or Unreasonable Prejudice or Disadvantage Created by Respondents' Conduct

Title 46 U.S.C. § 41106(2) provides that a marine terminal operator may not "give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person." Complainants allege that Respondents are in violation of 46 U.S.C. § 41106(2) by "refusing to observe, implement, enforce and collect Access Fees from all Commercial Passenger Vehicles accessing the Cruise Terminal;" by Respondents' "unreasonable, unduly prejudicial, and discriminatory allocation of the Cruise Terminal's costs;" disproportionate increases in Complainants' Access Fees as compared to increases to other Cruise Terminal users' Access Fees; and relegating Complainants' travel routes and pick-up/drop-off locations of lesser convenience than those made use of by Respondents' shuttle buses. Complainants also allege that as a result of Respondents' conduct, including their selective and inconsistent enforcement of the Tariff, "Complainants have been

forced to subsidize” other entities use of the Cruise Terminal. This subsidization resulting in those other users receiving “greater levels of service and benefit from the Respondents’ services at a lower cost” than what Complainants receive, thereby placing Complainants at a considerable disadvantage while granting those other users unreasonable advantage.

Complainants further allege that Respondents’ conduct gives rise to “undue and unreasonable preferences in favor of Cruise Terminal parking lots (which Carnival Cruise Line has an interest in), taxi cabs not being charged Access Fees under the Tariff, hotels transporting passengers to the Cruise Terminal not being charged Access Fees under the Tariff, and private parking lots to which the Tariff does not apply,” which results in “the prejudice and disadvantage of Complainants.”

II. SUBSTANTIVE ERRORS AND EXCEPTIONS

In addition to and expanding upon those exceptions identified in the Summary section above, Complainants specifically raise and address the following exceptions:

A. INITIAL DECISION ON REMAND FAILS TO ADDRESS THE ISSUES IDENTIFIED BY THE UNITED STATES COURT OF APPEALS FOR THE DISTRICT OF COLUMBIA CIRCUIT’S ORDER

The ALJ omits and fails to address the issue on remand; determining whether Respondents had met their burden by showing “that the differential treatment of Petitioners’ shuttle buses is justified by legitimate transportation factors.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 797. Such analysis remains unconsidered as it pertains to the disparate treatment of Complainants compared to (1) taxicabs under the Tariff; (2) limousines under the Tariff; (3) granting limousines free access to the Cruise Terminal in violation of the terms of the Tariff; (4) Respondents’ selective enforcement of the Tariff, whereby Complainants were consistently charged maximum Access Fees while other Commercial Passenger Vehicles accessing the Cruise Terminal for the same purpose as Complainants were not charged pursuant

to the Tariff; and (5) charging Complainants full Access Fees even when they simply arranged for limousines that their customers utilized for access to the Cruise Terminal—which, pursuant to the Tariff at the time, were to be granted free access to the Cruise Terminal.²

As identified in the D.C. Circuit’s Order remanding this matter back to the Commission:

“To be sure, under the statute and the *Ceres* test, the Galveston Port may be able to show that the differential treatment of Petitioners’ shuttle buses is justified by legitimate transportation factors. But the Commission never reached that step of the analysis. On remand, the Commission may consider the Port’s argument to that effect.”

Santa Fe Disc. Cruise Parking, Inc., 889 F.3d at 797. With the sole exception being Respondents’ paradoxical considerations pertaining to granting taxicabs—and only taxicabs—free access to the Cruise Terminal, the record is *void* of any evidence, argument, or support for the disparate treatment identified and complained of by Complainants.

B. INITIAL DECISION ON REMAND FAILS TO CONSIDER MULTIPLE ISSUES FORMING THE BASIS OF THE COMPLAINT

The ALJ omits and fails to consider significant allegations made by Complainants. Specifically, the IDR provides that, in arriving at its conclusion, it considered the following:

Complainants contend that by amending Tariff Circular No. 6 on August 28, 2006, to calculate access fees for Complainants at the \$8.00 per parking place per month rate instead of the per trip rate and continuing to calculate access fees for hotels and other commercial passenger vehicle operators using the per trip rate, the Port gave an undue or unreasonable preference or advantage to the hotels and other operators and imposed an undue or unreasonable prejudice or disadvantage on Complainants in violation of section 41106(2).

(IDR at 36.) While it is true that Complainants do assert that specific claim, the IDR is silent as to Complainants’ other asserted claims for violation of section 41106(2), including *de facto*

² In Respondents’ Corrected Response Brief, Respondents admit to selective enforcement of the Tariff by their “failure to collect the higher amounts charged for larger buses and shuttle vans required by the amended Tariff.” Resp. Corr. Br. at 21, fn.5. Respondents further admit that, through their failure, they “charged all such vehicles a \$10 access fee per trip regardless of size – in violation of the Tariff. As a result, some commercial users paying access fees on a per-trip basis were charged less than they should have been charged.” *Id.* Respondents continue, admitting that “limousines were not being charged,” but that Respondents are now “resolved to enforce access rates on limousines.” Resp. Corr. Br. at 23, fn.6.

subsidization caused by Respondents' selective enforcement of the Tariff. In their Complaint, Complainants allege as follows:

[T]he Wharves Board has not enforced or collected [Access Fees pursuant to the Tariff] from any such hotel since inception of the Tariff. By contrast, the Wharves Board has enforced and collected Access Fees from Complainants since inception of the Tariff. This, in and of itself, has created a substantial loss of revenue to the Cruise Terminal, and resulted in the situation at bar; that is, Complainants are now [by virtue of disproportionate increases in Access Fees] being asked to subsidize Respondents' past and future failures to implement, enforce, and collect Access Fees under the Tariff from these other Off-Port Parking Users.

(First Amend. Comp. at 22-23.) Complainants further allege that Respondents' conduct was discriminatory against Complainants and preferential toward other Cruise Terminal users.

Respondents have historically failed to charge and/or collect Access Fees from a material percentage—if not a majority—of commercial vehicles that have accessed the Cruise Terminal since the Tariff's inception. As such, Respondents have forced Complainants to subsidize other non-paying users' share of Cruise Terminal costs, providing those users with an undue preference or advantage over Complainants.

(First Amend. Comp. at 25.)

Imposing an unreasonable, unduly prejudicial, and discriminatory allocation of the Cruise Terminal's costs upon Complainants, but not other users of the Respondent's services under Tariff Circular No. 6, Item 111—Other Licenses and Permits.

(First Amend. Comp. at 29.)

Unreasonably and unjustifiably modifying and/or increasing the Access Fees (for the third time in nine months) under the Tariff for Complainants.

(First Amend. Comp. at 29.)

Unreasonably discriminating against Complainants by imposing an unfair and disproportionate increase in Access Fees in comparison to increases, if any, imposed on other users of Respondents' services under Tariff Circular No. 6, Item 111—Other Licenses and Permits.

(First Amend. Comp. at 29.)

Unreasonably, unjustifiably, unfairly, and with undue prejudice, refusing to observe, implement, enforce and collect Access Fees from all Commercial Passenger Vehicles accessing the Cruise Terminal.

(First Amend. Comp. at 29.) Complainants' original Brief similarly raises these unaddressed issues by stating:

Through disparate treatment of Complainants based on Tariff rates charged, and in the form of Respondents' preferential exclusion of certain port users from collection of Access Fees, coupled with Respondents' selective enforcement of the Tariff, Complainants have been burdened with an unjust economic disadvantage and a resulting *de facto* subsidization of benefits received by other Cruise Terminal users who are similarly situated and/or in a competitive relationship with Complainants.

(Comp. Br. at 13.)

By not enforcing the Tariff equally amongst all port users who are similarly situated and/or in a competitive relationship with Complainants, Respondents engaged in disparate treatment which burdened Complainants with an unreasonable prejudice and disadvantage, and resulted in economic injury.

(Comp. Br. at 20-21.)

By waiving the Access Fee for taxicabs, Complainants are forced to subsidize the benefits received by those taxicabs and the local hotels/motels that utilize the taxicabs for transportation of cruise passengers who park their vehicles in those hotels/motels parking lots.

(Comp. Br. at 25 (quoted in IDR at 37, but not addressed).)

Nevertheless, the ALJ addresses only Complainants' allegations of subsidization in relation to the May 19, 2014 increase in Access Fees. (IDR at 63.) Complainants take exception to the ALJ's failure to consider Complainants other allegations of subsidization, and to the IDR's statement that "Complainants did not subsidize other users as a result of the May 19, 2014, increase in the flat rate to \$28.88." (IDR at 63.) Similarly, the ALJ fails to consider the Section 41106(2) violation arising from Respondents not allowing Complainants to arrange taxicabs and limousines for the transport of their customers. (*See e.g.*, Resp. App. 002773 (showing that Complainants were charged for access to the Cruise Terminal by exempted limousines); *see also*

Comp. Reply Br. at 18-20; IDR at 24, Nos. 22-25 (showing that Complainants, as “Off-Port Parking Users,” are charged Access Fees even when they arrange for taxicabs and limousines to transport their customers into and out of the Cruise Terminal, and do not themselves access the Cruise Terminal.).)

Accordingly, Complainants take exception to the ALJ’s failure to address the identified violations of the Shipping Act.

C. THE INITIAL DECISION ON REMAND ERRONEOUSLY FINDS THAT COMPLAINANTS HAVE NOT PROVED BY A PREPONDERANCE OF THE EVIDENCE THAT RESPONDENTS VIOLATED SECTION 41106(2) OF THE SHIPPING ACT

1. The Initial Decision on Remand erroneously shifts the burden of *Ceres I* Element 3 from Respondents to Complainants

Complainants take exception to the ALJ erroneously shifting the burden of *Ceres I* Element 3 from Respondents to Complainants. (See IDR at 38 (“*Ceres I* Element 3 requires a complainant to show that ‘the unequal treatment is not justified by differences in transportation factors’.”.) In contract to the ALJ’s interpretation, *Ceres I* is clear in establishing that “[t]he complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres I*, 27 S.R.R. at 1270-71 (citing *Cargill, Inc. v. Waterman Steamship Corp.*, 24 FMC 442, 461-62 [21 S.R.R. 287] (1981)). Moreover, as recognized and expressly stated in the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC, Justice Kavanaugh wrote: “To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that showing, the respondent marine terminal operator has the burden

of justifying the differential treatment based on legitimate transportation factors.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796.

Relying on the Commission’s prior analysis showing that Complainants are not required to prove *Ceres I* Element 1 in order to succeed on their claims, the ALJ does not address *Ceres I* Element 1. (IDR at 37.) In considering the next element, which Complainants are burdened with proving, the IDR provides that “Complainants have proved *Ceres I* Element Two, that the parties were accorded different treatment.” (IDR at 38.) Complainants final burden—showing that the prejudice or disadvantage resulting from the disparate treatment accorded to Complainants proximately caused injury—was only partially considered, for which Complainants make exception to, and will address below. However, as to the disparate treatment accorded Complainants as compared to taxicabs and limousines, the ALJ concluded that Complainants were injured by such disparate treatment, and that such injury was proximately caused by the disparate treatment.

Accordingly, the burden of proof has been satisfied as to *Ceres I* Elements 1, 2, and 4, and only Element 3 remains unproven. As provided by both *Ceres I* and the D.C. Circuit in its Order remanding this matter to the Commission, “the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres I*, 27 S.R.R. at 1270-71 (citing *Cargill, Inc.*, 24 FMC at 461-62); *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796.

Therefore, the question on remand is not whether Complainants had satisfied *Ceres I* Element 3, but whether Respondents had done so. However, Respondents only attempt such justification for their preferential treatment of taxicabs, offering no justification whatsoever to Complainants’ showing of Respondents’ violations of the Shipping Act with regard to the disparate and discriminatory treatment levied upon Complainants as compared to local

hotels/motels, limousines, or buses.³ A thorough review of the record shows that Respondents failed to satisfy their burden.

2. The Initial Decision on Remand erroneously finds that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to hotels

Complainants take exception the ALJ's conclusion that Respondents have satisfied their burden under *Ceres I* Element 3. (IDR at 43 and 47.) Respondents did not justify the difference in treatment between Complainants and hotels by legitimate transportation factors. Complainants take exception to the conclusion that "the Port could take [six identified] transportation factors into account without violating section 41106(2)."⁴ While Complainants certainly do not deny that Respondents "could" take the six enumerated conclusions into account without violating Section 41106(2), the issue under consideration is not whether Respondents violated the Shipping Act by considering those conclusions, but whether Respondents justified the difference in treatment between Complainants and other Cruise Terminal users. A cursory review of Respondents' briefing will show that the only argument Respondents made in attempt to satisfy this burden was with respect to taxicabs. Nowhere in the record have Respondents argued that legitimate transportation factors were taken into account in the accordance of disparate treatment between Complainants and hotels, Complainants and limousines, or Complainants and buses. (See *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796 (Holding that the FMC "may consider the Port's argument" to satisfy Respondents' burden of justifying "by legitimate transportation factors, the differential treatment accorded Complainants.). Having made no such argument, Respondents have conceded the issues and do not meet their burden.

³ By not addressing their burden of proof in their briefs, Respondents have abandoned those elements. See IDR at 18-19 (recognizing failure to address matters in briefs on the merits results in abandonment).

⁴ The referenced six "transportation factors" are actually "conclusions" of the ALJ, and are not all transportation factors. For instance, conclusion (2) states "hotels do not meet the definition of off-port parking users". This conclusion is not a "transportation factor." (See IDR at 42-43.)

Complainants also take exception to the ALJ erroneously failing to consider or analyze several forms of Respondents' disparate treatment of Complainants as compared to hotels when considering the satisfaction of *Ceres I* Element 3. The ALJ considers only whether Complainants proved by a preponderance of the evidence that Respondents gave an undue or unreasonable preference or advantage to hotels, or imposed an undue or unreasonable prejudice or disadvantage upon Complainants by charging Complainants per parking space per month, and charging hotels per trip. This is an incomplete analysis. Complainants have shown—and Respondents admit—that Respondents selectively enforced the Tariff and permitted hotels to transport their customers to and from the Cruise Terminal at rates less than those required by the Tariff, while consistently collecting from Complainants the maximum Access Fees permitted by the Tariff. (*See e.g.*, Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) Respondents have put forth no argument or evidence which would justify by legitimate transportation factors or otherwise, the disparate treatment arising from their selective enforcement of the Tariff.

Moreover, Complainants, Respondents, and the ALJ in the IDR have all identified, and the evidence in the record supports, that by virtue of being singled out as “Off-Port Parking Users” as that term is defined in the Tariff, Complainants were and remain unable to arrange for their customers to be transported to or from the Cruise Terminal by taxicabs or limousines without Complainants themselves being charged Access Fees. (*See* IDR at 24, Nos. 22-25 (showing that Complainants, as “Off-Port Parking Users,” are charged Access Fees even when they arrange for taxicabs and limousines to transport their customers into and out of the Cruise Terminal, and do not themselves access the Cruise Terminal.); Comp. Br. at 14-16, 19; Comp. Reply Br. at 18-20; *see also id.* at 54-55.) Hotels, by not being designated or treated as “Off-Port Parking Users” (despite meeting the definition), are allowed to arrange for their customers who

park their cars at the hotels' parking lots for the duration of a cruise, for such transportation without the hotels being charged Access Fees by Respondents. (Comp. Br. at 14-16, 19; Comp. Reply Br. at 18-20; Comp. App. 027 at 00514; Comp. App. 016 at 000314—000315 (165:6 – 168:20); Comp. App. 043 at 000767.) Respondents conclude that “[i]f the hotel does not hire and pay for a vehicle to enter the Cruise Terminal the hotel is not “accessing” the terminal and there is not Access Fee.” (Resp. Corr. Br. at 38.) Nevertheless, being designated as “Off-Port Parking Users,” Complainants are charged Access Fees when they arrange similar transportation in the same manner for their customers into the Cruise Terminal. (See IDR at 12, 54-55.) Moreover, this unjustified prejudicially disparate treatment is written into the Tariff. As identified in the ALJ at Finding of Fact Nos. 22 and 25, Complainants are “Off-Port Parking Users,” and are defined as:

a commercial business entity which provides *or arranges* for one or more commercial passenger vehicles, buses or shuttles, *however owned or operated*, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

(IDR at 24 (emphasis added).) Nowhere in the record have Respondents put forth any argument or evidence which would justify by legitimate transportation factors the disparate treatment arising from the Tariff's arbitrary, prejudicial, and discriminatory preclusion of Complainants' ability, as “Off-Port Parking Users,” to arrange for transportation of its customers by third-party taxicabs or limousines without being charged Access Fees.

Accordingly, the ALJ's failure to conclude that Complainants met their burden of proof on their Section 41106(2) claims against Respondents for the disparate treatment accorded Complainants as compared to hotels is erroneous and unsustainable.

3. The Initial Decision on Remand erroneously finds that Complainants have not shown injury proximately caused by the undue or unreasonable preference/advantage or prejudice/disadvantage with respect to hotels

Complainants also take exception to the determination in the IDR that “Complainants have not proved by a preponderance of the evidence that the Port gave an undue or unreasonable preference or advantage to hotels that provide parking to cruise passengers or imposed an undue or unreasonable prejudice or disadvantage on Complainants by using the per trip rate instead of the flat rate to calculate access fees for the hotels” and that Complainants were not proximately injured by same. (IDR at 43.) First, Complainants take exception to this determination in the IDR because it fails to consider Complainants’ showing that hotels arranged for their customers to be delivered to the Cruise Terminal via taxicabs (which are exempted from paying Access Fees under the Tariff), and therefore were permitted to avoid being charged any Access Fees by not being treated as “Off-Port Parking Users” (despite meeting the definition). (Comp. Br. at 14-16, 19; Comp. Reply Br. at 18-20; Comp. App. 027 at 00514; Comp. App. 016 at 000314—000315 (165:6 – 168:20); Comp. App. 043 at 000767.) This bestowed an undue and unreasonable preference or advantage on those hotels, and undue and unreasonable prejudice and disadvantage on Complainants, because Respondents would still charge Access Fees to Complainants whether they used their own shuttle buses or arranged for third-party taxicabs or limousines to transport their customers to the Cruise Terminal—as many of the hotels did for their customers. (Comp. Br. at 19; Comp. Reply Br. at 18-20.)

Second, Complainants also take exception to the fact that, in reaching its conclusion that Complainants did not prove by a preponderance of the evidence that Respondents “gave an undue or unreasonable preference or advantage to hotels that provide parking to cruise passengers or imposed an undue or unreasonable prejudice or disadvantage on Complainants by using the per trip rate instead of the flat rate to calculate access fees for the hotels,” the ALJ

considered only whether it was unreasonable to charge Complainants in a manner different than the hotels were charged. (IDR at 43.) This assessment fails to consider Complainants showing of the unreasonableness of Respondents' practice of selective enforcement of the Tariff in favor of hotels (and all other Commercial Passenger Vehicles) under either method of assessing Access Fees therein. Specifically, Complainants have shown—and Respondents admit—that Respondents' selective enforcement of the Tariff includes, among others, (1) charging hotels Access Fees of only \$10 per vehicle access without regard to the size of vehicle accessing the Cruise Terminal, (2) charging other Cruise Terminal users Access Fees of only \$10 per vehicle access without regard to the size of vehicle accessing the Cruise Terminal, (3) failing to collect Access Fees from limousines as required by the Tariff, and (4) excluding limousines of certain capacities from being charged an Access Fee under the Tariff. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) To determine that Complainants were not subjected to undue or unreasonable prejudice or disadvantage—or that local hotels were not granted undue or unreasonable preference or advantage—when Respondents only fully enforced the Tariff against Complainants would be untenable. However, no analysis on this proven violation of the Shipping Act was made by the ALJ, and so remains adrift.

Complainants' injury arising from Respondents' disparate treatment of Complainants and hotels derives from two sources: (1) Respondents' selective enforcement of the Tariff, whereby Complainants paid full Access Fees while others did not; and (2) hotels being allowed (despite meeting the Tariff's definition of an "Off-Port Parking User") to arrange for taxicabs to transport customers to/from the Cruise Terminal without being charged Access Fees, while Complainants, in being treated differently as "Off-Port Parking Users," cannot. Complainants' injuries are proximately caused by the prejudice and disadvantage arising out of Respondents' disparate

treatment of Complainants and hotels. Accordingly, Complainants paid more as a result of that disparate treatment, and the measure of damages is the difference between what Complainants paid and what they would have paid if they had been treated the same as hotels.

4. The Initial Decision on Remand erroneously finds that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to taxicabs

Complainants take exception the ALJ's conclusion that Respondents have satisfied their burden under *Ceres I* Element 3. (IDR at 43 and 47.) Respondents did not justify the difference in treatment between Complainants and taxicabs by legitimate transportation factors.

Complainants take exception to the ALJ's conclusion that no undue or unreasonable advantage or preference was given to taxicabs, or that no undue or unreasonable disadvantage or prejudice was given to Complainants, by virtue of Respondents' practice of exempting taxicabs from paying Access Fees, while charging Access Fees to Complainants. In arriving at that conclusion, the ALJ relies on paragraphs 36 through 48 of the Affidavit of Michael Mierzwa (Port App. 075 at 2077-2078) and on the Affidavit of Margaret Benham, the owner of Tropical Taxi, a Galveston taxi service. (IDR at 44-46.) In summary, the argument put forth by Respondents and relied upon by the ALJ is that Respondents need taxicabs "to move passengers effectively" through the Cruise Terminal, and that Respondents cannot charge taxicabs Access Fees because the City of Galveston licenses local taxicabs and governs the fares they are allowed to charge. (IDR at 44-46.) Therefore, if Respondents were to charge taxicabs Access Fees, the taxicabs would have to absorb those fees, as they could not, without action by the City of Galveston, pass those costs on to their customers. (IDR at 44-46.) Complainants take exception to the ALJ's adoption of Respondents' reasoning.

Even if Respondents' explanation was justification by a legitimate transportation factor—which Complainants deny—it is contradicted by Respondents representations made in their

Response Brief. While Complainants disagree with Respondents' purported reliance upon taxicabs, Complainants take particular exception to the ALJ's blanket application of Respondents' reasoning to all taxicabs. Relying on the City of Galveston's restrictions on fees taxicabs can charge their customers, Respondents allow all taxicabs—wherever from—to access the Cruise Terminal without being subject to Access Fees. (*See* Resp. Corr. Br. at 29 and 35.) However, as admitted by Respondents in their Corrected Response Brief, not all of the taxicabs delivering passengers to/from the Cruise Terminal are governed by the City of Galveston. (Resp. Corr. Br. at 12.)

Moreover, Respondents' other purported justification for waiving Access Fees for taxicabs under the Tariff is that taxicabs move “a significant number of passengers” through the Cruise Terminal. (Resp. Corr. Br. at 36.) This is in direct contradiction to both logic and Respondents' prior-stated fact. First, it defies logic. If Respondents' transportation factor interest is in moving “a significant number of passengers,” then Complainants' large shuttle buses satisfy that transportation factor much more efficiently than a taxicab. (*See* Comp. Reply Br. at 17-18.) Second, in their Corrected Response Brief, Respondents themselves informed the ALJ that “[a] relatively small number of cruise passengers arrive by: (a) taxicab – either local taxis, or taxis from other locations, such as the Houston Airports.” (Resp. Corr. Br. at 12.) Respondents cannot claim both that “a relatively small number” of cruise passengers are moved by taxicabs, and also that “a significant number” of cruise passengers are moved by taxicabs. If the movement of cruise passengers in and out of the Cruise Terminal is a legitimate transportation factor, a conclusion based on Respondents' paradoxical statements regarding that transportation factor is equally inconsistent.

Finally, under the Tariff, Complainants, without justification by Respondents, are expressly precluded from arranging for taxicabs to move their customers to and from the Cruise Terminal without being charged Access Fees. (See IDR at 24, definition of “Off-Port Parking User”).⁵ If legitimate transportation factors exist for taxicabs to have free access to the Cruise Terminal, then no justification exists for charging Complainants for arranging the use of taxicabs by their customers.

5. The Initial Decision on Remand erroneously finds that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to limousines

Complainants take exception the ALJ’s conclusion that Respondents have satisfied their burden under *Ceres I* Element 3. (IDR at 43 and 47.) Respondents did not justify, nor even attempt to justify, the difference in treatment between Complainants and limousines by legitimate transportation factors.

Complainants also take exception to the ALJ’s failure to address Respondents’ violations of the Shipping Act arising from the disparate treatment accorded Complainants versus limousines. The ALJ correctly recognizes that *Ceres I* Elements 1, 2, and 4 are satisfied as to Complainants’ claims pertaining to limousines. *Ceres I* Element 1 has been determined inapplicable to this case. (IDR at 37.) *Ceres I* Element 2, requires that Complainant show it was treated differently than limousines by Respondents. (IDR at 37-38; *Ceres I*, 27 S.R.R. at 1270.) Complainants showing of such differential treatment included that (1) under the Tariff, limousines (and later limousines seating not more than 8 people) were exempted from being

⁵ Under the Tariff, an “Off-Port Parking User” is defined as “a commercial business entity which provides *or arranges* for one or more commercial passenger vehicles, buses or shuttles, *however owned or operated*, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.” (IDR at 24 (emphasis added).) By singling out and defining Off-Port Parking Users in this manner, only Off-Port Parking Users are denied the ability to freely arrange for taxicabs to transport their customers to/from the Cruise Terminal.

charged Access Fees; and (2) that due to Respondents' selective enforcement of the Tariff, even limousines that should have been charged Access Fees were granted free access to the Cruise Terminal. (See IDR at 25; Resp. Corr. Br. at 21, fn.5 and 23, fn.6 (Respondents admit that limousines were not charged from 2008 through 2014, and buses were undercharged \$40-\$50 per trip from 2007 through 2014).) Each of these forms of disparate treatment—exemption under the Tariff, and selective enforcement of the Tariff—resulted in limousines not being charged Access Fees by Respondents for the same use of the Cruise Terminal for which Complainants were charged. The ALJ determined that Complainants satisfied their burden of proving *Ceres I* Element 2. (IDR at 37-38.)

Nowhere in the record did Respondents address these forms of disparate treatment between Complainants and limousines. As set forth in *Ceres I*, “[t]he complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres I*, 27 S.R.R. at 1270-71. These respective burdens, and the point at which they shift, were reiterated in the May 11, 2018 Order of the D.C. Circuit remanding this matter to the FMC. In that Order, Justice Kavanaugh wrote: “To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that showing, the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.” *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796.

Acknowledging that Respondents concede this point to Complainants by never attempting to justify the disparate treatment between Complainants and limousines,⁶ even assuming *arguendo* that Respondents had attempted and satisfied their burden of showing that valid transportation factors existed which required exempting limousines from being charged Access Fees, another paradox would have arisen at the point when Respondents changed the Tariff to charge limousines that carried less than nine passengers Access Fees. (See IDR at 25, No. 29 (limousines not charged Access Fees); *see also id.* at 28-29, No. 50 (limousines with seating capacity of not more than eight not charged Access Fees).) There is, again, no justification provided by Respondents or logic for the Tariff change, and still no justification for the arbitrary cutoff at eight passengers. Respondents have, without justification, shifted the requirements under the Tariff from (1) allowing all limousines free access under the Tariff, to (2) allowing all limousines with less than nine passengers free access under the Tariff, while charging limousines with nine or more passengers, then to (3) charging all limousines Access Fees. (See IDR at 25, 28-29, and 31.) Accordingly, by logic and the record, there is no justification by legitimate transportation factors for the disparate treatment Respondents have given to Complainants and limousines. For if such legitimate transportation factor existed to justify not charging limousines, then it could not at the same time exist to justify charging them.

In analyzing *Ceres I* Element 3 as it applies to Complainants' claims pertaining to limousines, the ALJ, without explanation or support, "concludes that not charging taxicabs and limousines for access is justified by transportation factors." (IDR at 47.) However, no transportation factor is identified that applies to limousines. As identified throughout the record and hereinabove, Respondents granted limousines free access to the Cruise Terminal in two

⁶ By not addressing their burden of proof in their briefs, Respondents have abandoned those elements. (See IDR at 18-19 (recognizing failure to address matters in briefs on the merits results in abandonment).)

manners: (1) by exempting them under the Tariff; and (2) by selective enforcement of the Tariff. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) The ALJ's analysis of *Ceres I* Element 3 is broken into two parts. In one, the ALJ considers the disparate treatment between Complainants and hotels, and in the other, the disparate treatment between Complainants and taxicabs. (IDR at 38-46.) Despite Complainants raising individual claims of violations pertaining to Respondents treating them differently than limousines, the ALJ does not directly address those claims. Instead, and without explanation or justification, the ALJ attempts to bootstrap limousines to taxicabs. (See IDR at 44-46.)

Complainants take exception to the ALJ's adoption of limousines into Respondents' reasoning as to why taxicabs are granted access to the Cruise Terminal without being assessed an Access Fee. While Complainants disagree with Respondents' purported reliance on taxicabs, or that such reliance amounts to a valid transportation factor, Complainants take particular exception to the ALJ's unsupported and unexplained application of Respondents' explanation of taxicabs to the subject of limousines, which was untouched and abandoned by Respondents. (IDR at 44-47.) Two faults are immediately apparent with this assumed correlation. First, it fails to address Respondents' selective enforcement of the Tariff as written (which did not occur with respect to taxicabs); implying instead that Respondents actually intended all limousines to be granted free access without bearing the burden of paying Access Fees.⁷ However, the Tariff required limousines to pay Access Fees depending on their capacity, and so contradicts any argument of a decision based on transportation factors. (See Comp. App. 021 at 000444, 023 at 000460, 024 at 000466, and 041 at 000756.) See *Cent. Nat'l Corp. v. Port of Houston Auth.*, 22 S.R.R. 795, 797 (FMC 1984)(The "fact that the Port's practices do not comport with the

⁷ Respondents admit that they violated the Tariff by failing to charge limousines as they intended – pursuant to the Tariff. Resp. Corr. Br. at 21, fn.5.

description set forth in its tariff is ... not evidence of the reasonableness of the tariff provisions, but might well be taken as an indication of their unreasonableness.”). Second, the correlation of limousines to taxicabs is made without bases. Respondents themselves admit and argue that limousines provide a significantly different service than do taxicabs.⁸

Moreover, the ALJ’s unsupported conclusion that “not charging ... limousines for access is justified by transportation factors” fails to address Respondents’ proven and admitted selective enforcement of the Tariff, or consider the fact that all limousines are not charged Access Fees under the Tariff. (*See e.g.*, Comp. Reply Br. at 6-7.) Such selective enforcement, whereby Respondents consistently collected the maximum Access Fees permissible under the Tariff from Complainants, while during the same six (6) years did not collect Access Fees from limousines, is *per se* disparate, prejudicial, and disadvantageous treatment that injured Complainants. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) Again, nowhere in the record have Respondents ever attempted to justify this disparate treatment via transportation factors or otherwise. Nevertheless, without support, and in the face of Respondents’ arguments to the contrary,⁹ the ALJ assumes that Respondents must have considered transportation factors, and so concludes that Respondents somehow met their burden.

Limousines do not evoke the same alleged transportation factor that Respondents argued, and the ALJ adopted, as apply to taxicabs. Respondents have not once argued or forwarded the proposition that their disparate treatment of Complainants and limousines was justified by a legitimate transportation factor or otherwise, in fact, Respondents now charge all limousines

⁸ *See* Resp. Corr. Br. at 16, fn.2 (“The reasons taxicabs are not charged Access Fees are discussed more fully below. Generally, their charges are exclusively regulated by the City of Galveston.”); at 29 (“Limousines and coach buses are typically from out of town.”); and at 30 (“Limousines and coach buses access the Cruise Terminal sporadically – from a few time a year to a two times a month.”).

⁹ *See* Resp. Corr. Br. at 16, fn.2 (“The reasons taxicabs are not charged Access Fees are discussed more fully below. Generally, their charges are exclusively regulated by the City of Galveston.”); at 29 (“Limousines and coach buses are typically from out of town.”); and at 30 (“Limousines and coach buses access the Cruise Terminal sporadically – from a few time a year to a two times a month.”).

Access Fees under the Tariff. Accordingly, Respondents have failed to satisfy their burden, and no justification for the violative conduct exists.

6. Complainants have shown injury proximately caused by the undue or unreasonable preference/advantage or prejudice/disadvantage with respect to limousines

To satisfy *Ceres I* Element 4, Complainants were required to show that the differential treatment established in proving *Ceres I* Element 2 proximately caused them injury. (IDR at 47; *Ceres I*, 27 S.R.R. at 1270.) The ALJ correctly identifies that Complainants satisfied this burden as to their claims against Respondents for the differential treatment accorded them versus limousines. (IDR at 66 (“by charging Complainants for access but not charging taxicabs and limousines, Complainants suffered injury from the violation”).) The ALJ goes on to identify the measure of Complainants injury to be “the difference between the amount charged Complainants and the amount charged taxicabs and limousines – zero.” (IDR at 66.)

Complainants agree with the ALJ’s conclusion that Complainants were injured as a proximate result of Respondents allowing limousines—both pursuant to the Tariff and through selective enforcement in violation of the Tariff—free access and use of the Cruise Terminal, while charging Complainants for the same access and use. The unfair, preferential application of an already prejudicial Tariff resulted in Complainants effectively subsidizing these limousines’ use and benefit of the Cruise Terminal, causing economic injury to Complainants.

D. INITIAL DECISION ON REMAND ERRONEOUSLY FINDS THAT COMPLAINANTS HAVE NOT SATISFACTORILY PROVEN VIOLATIONS OF SECTION 41106(2)

1. The Initial Decision on Remand erroneously attempts to absolve the Port’s violations of 41106(2) under the guise of “discretionary business decisions”

The ALJ erroneously undertakes to absolve the Port’s violations of Section 41106(2) through the guise of discretionary business decisions. First and foremost, Respondents themselves only argue the existence of legitimate transportation factors with regard to their

intentional exclusion of taxicabs from being assessed Access Fees under the Tariff. (Resp. Corr. Br. at 35-36.) With that exception alone, the record is devoid of any evidence, argument, or intimation that would support the ALJ's finding that Respondents employed discretionary business decisions when engaging in their differential treatment of Complainants. Nevertheless, and without support in the record, the ALJ attempts to make the argument for Respondents.

For instance, pertaining only to Respondents' disparate treatment between Complainants and hotels, the ALJ provides that "[a] port may take into account the situation and circumstances of the respective customers, as competitive or otherwise," and lists six conclusions of the ALJ. (IDR at 42-43.) The ALJ continues:

"Given the deference that the Commission shows to public port authorities, *Maher v. PANYNY*, I conclude that the Port *could* take these transportation factors into account without violating section 41106(2)."

(IDR at 43 (emphasis added).) The ALJ's determination that Respondents *could* have taken those contested factors into consideration is in no way supported by evidence or argument in the record indicating that Respondents *did* take those contested factors into consideration. Moreover, the ALJ's conclusion based on these assumed possibilities is applied solely to the difference in treatment between Complainants and hotels based on the Access Fee payment scheme itself. The ALJ does not even address the difference in treatment between Complainants and hotels arising from Respondents' selective enforcement of the Tariff, or the fact that Complainants, by being designated and treated as "Off-Port Parking Users," were precluded from arranging for taxicabs and limousines to transport their customers to and from the Cruise Terminal, whereas hotels, despite meeting the definition of "Off-Port Parking Users," were not so burdened.

The ALJ relies on the same unsupported assumptions with regard the disparate treatment of Complainants as compared to limousines. Relying solely on the affidavits of Michael Mierzwa, the Port Director who in the thirteen numbered paragraphs quoted, framed Respondents' argument for why exempting taxicabs—and only taxicabs—from Access Fees in the Tariff was a reasonable discretionary business decision of the Port, and of the owner of a Galveston taxicab company, the ALJ inexplicably applies Respondents' argument to limousines. (IDR at 44-46.) This bootstrapping of limousines to taxicabs is done despite the evidence and Respondents' own arguments expressly differentiating the identified transportation factors allegedly justifying the differential treatment of taxicabs from all other Cruise Terminal users. (Resp. App. 075 at 002077-78, Nos. 44-48; Resp. Corr. Br. at 35-37.) Nevertheless, and without explanation or evidence, the ALJ concludes that Complainants suffered no “undue or unreasonable prejudice or disadvantage ... when [Respondents] exempted taxicabs and limousines from paying Port access fees.” (IDR at 46.)

Moreover, as with the ALJ's analysis of the disparate treatment between Complainants and hotels, in addition to equating limousines to taxicabs in contradiction to the evidence and arguments in the record, the ALJ still only considers the disparate treatment of Complainants and limousines evidenced by the exemption of limousines from being charged Access Fees pursuant to the Tariff. The ALJ fails to consider Complainants showing, and Respondents' admissions, of disparate treatment arising from Respondents' selective enforcement of the Tariff. (*See e.g.*, Resp. Corr. Br. at 21, fn.5 and 23, fn.6; Comp. Reply Br. at 6-7, 16.) Complainants have proven—and Respondents admit—that for six (6) years, limousines (and other Commercial Passenger Vehicles) that should have been charged Access Fees were permitted free access to the

Cruise Terminal while Complainants were consistently charged full Access Fees. (Comp. Reply Br. at 16-20, 26, 30; Resp. Corr. Br. at 21, fn.5 and 23, fn.6.)

Complainants maintain that it is not within the shelter of a discretionary business decision for a marine terminal operator to routinely enforce its published tariff against only certain port users, while giving advantageous reduced, and/or free access to other port users. Nor is it appropriate for the ALJ to assume and rely upon arguments and evidence not in the record, while at the same time disregarding the arguments and evidence contained therein, in making arguments for Respondents. Further, as indicated above, the ALJ fails to address multiple claims made by Complainants of Respondents' violations of the Shipping Act. As provided in Complainants' Reply Brief, both Complainants and Respondents agree that Respondents' selective enforcement of the Tariff—in violation of 41106(2)—was not a “reasonable business decision” that would fall within a marine terminal operator's discretion. (Comp. Reply Br. at 25.) In fact, Respondents themselves represent that their conduct of not charging Access Fees pursuant to the Tariff to all categories of Commercial Passenger Vehicles with the sole exception of Complainants was not a business decision at all, but a negligent oversight, albeit one that spanned six (6) years and violated the Shipping Act. (Resp. Corr. Br. at 21, fn.5 and 23, fn.6.) A negligent oversight cannot be a business decision, and importantly, there is no element or factor requiring a violation of the Shipping Act to be intentional.

Finally, and perhaps most significantly, as provided by *Ceres I* and the D.C. Circuit in the subject remand Order, after Complainants made their showing of disparate treatment and injury proximately caused by same, Respondents were burdened with justifying, if they could, such disparate treatment by legitimate transportation factors. See *Ceres I*, 27 S.R.R. at 1270-71; *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 796. For the ALJ to *sua sponte* invoke “discretionary

business decisions” before Respondents have satisfied their burden of proof, results in rendering *Ceres I* Element 3 purely illusory.

E. THE INITIAL DECISION ON REMAND ERRONEOUSLY APPLIES THE COBLE ACT TO THIS MATTER

1. Unequal Application of the Law

The ALJ reasons that application of the Coble Act is not retroactive, but prospective, because it makes attorneys fees available to Respondents from the date of enactment (December 18, 2014) forward. (IDR at 68 (adopting *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*; *IFS International Forwarding, S.L.*; and *IFS Neutral Maritime Services*, FMC No. 14-04 (ALJ Apr. 15, 2015)(Initial Decision Dismissing Proceeding for Failure to Prosecute), Notice Not to Review, May 18, 2015, at 21).) This method of applying the Coble Act does not work with equal justice should Complainants prevail.

If Complainants are successful in proving reparations due for Respondents’ violations of the Shipping Act, and the Coble Act is applied as suggested by the ALJ—from December 18, 2014 forward—then Complainants cause of action and recovery will be governed by two distinct versions of the law. Having already carried the burden of the law as it existed when the Complaint was filed and through the gauntlet of Respondents’ motion for dismissal, including the application of resources and directing strategy to both pleading and proving reparations, for attorneys fees accrued prior to December 18, 2014, Complainants would thereby be guaranteed recovery of their attorneys fees from Respondents pursuant to the law in effect at the time Respondents violated the Shipping Act, and at the time Complainants filed their causes of action. Then, after December 18, 2014, Complainants would lose their statutory right to recovery of attorney fees from that point forward, which would then be discretionary in the ALJ’s newly-granted equitable authority. Complainants take exception to their cause of action being governed

by two contrary laws. The application of the Coble Act as suggested by the ALJ can work if either (a) Respondents prevail, or (b) Complainants prove Respondents' violations of the Shipping Act without proving reparations (whereby, under the ALJ's application of the Coble Act, Complainants may recover attorney fees that accrued after December 18, 2014 without the need to prove reparations). However, the ALJ's reasoning fails should Complainants prove reparations due.

If adopted, the effect of the IDR would be to propagate a double-standard. Simply put, it is unfair to require Complainants to both plead and prove reparations in order to recover their attorney fees, while not requiring the same of Respondents.

2. Law-of-the-Case Was Established

The law-of-the-case, by which Complainants causes of action have been governed, was established to include 46 U.S.C. § 41305 in its pre-Coble Act formulation. "As most commonly defined, the doctrine [of law-of-the-case] posits that when a court decides upon a rule of law, that decision should continue to govern the same issues in subsequent stages in the same case." *Arizona v. California*, 460 U.S. 605, 618, 103 S.Ct. 1382, 75 L.Ed.2d 318 (1983). In the case at hand, on November 21, 2014, in response to Respondents' Motion to Dismiss, the ALJ issued an Order on Pending Motions and Partial Dismissal in this matter. *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (ALJ Nov. 21, 2014) (Order on Pending Motions and Partial Dismissal), Notice Not to Review, Dec. 23, 2014. Therein, the ALJ decided against Respondents' motion to dismiss Complainants' section 41106(2) claims on grounds that:

The Complaint alleges injury and seeks a reparation award for payments under the 2006 tariff. Therefore, the Complaint states a claim of violation of section 41106(2).

Id. at 17 (internal citations omitted). Had Complainants not properly alleged injury and sought reparations in their Complaint in accordance with the law in force at that time, Complainants' 41106(2) cause of action would have, as happened to other claims made by Complainants in their Complaint, been summarily dismissed.¹⁰ Accordingly, Complainants claims for violations of section 41106(2) were subject to dismissal and decided upon based on the law as it existed before the effective date of the Coble Act. To now apply a new rule of law to Complainants' claims would be in violation of the principle of the law-of-the-case.

At the time Complainants filed this action with the FMC, in order to recover attorney fees incurred in litigating against a marine terminal operator for violations of section 41106(2) of the Shipping Act, a complainant was required to plead and prove "actual injury" and to seek recovery of, and be awarded, reparations. 46 U.S.C. § 41305. In doing so, the complainant was protected from liability for the respondent's attorneys' fees. *See id.* Therefore, without an award of reparations, even if Complainants were identified as prevailing parties, they were precluded from recovering their attorneys' fees and expenses incurred in pursuing and prevailing in their action.

The law in force at the time Complainants filed this action controlled Complainants recovery, which provided in pertinent part:

- (a) DEFINITION.—In this section, the term "actual injury" includes the loss of interest at commercial rates compounded from the date of injury.
- (b) BASIC AMOUNT.—If the complaint was filed within the period specified in section 41301(a) of this title, the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.

46 U.S.C. § 41305.

¹⁰ *See Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (ALJ Nov. 21, 2014) (Order on Pending Motions and Partial Dismissal), Notice Not to Review, Dec. 23, 2014 (ALJ dismissed Complainants' claims of violations of sections 41102(c) and 41104(3) of the Shipping Act.).

By its adoption of the reasoning in *Edaf Antillas*, the IDR holds that “[i]t does not upset the reasonable expectations of the parties to award attorney fees to a prevailing respondent.” (IDR at 68 (adopting reasoning in *Edaf Antillas*, FMC No. 14-04 (ALJ Apr. 15, 2015), at 21). In forming that conclusion, the initial decision in *Edaf Antillas* relied on the Supreme Court’s reasoning in *Martin v. Hadix*, wherein the Court considered application the Prison Litigation Reform Act of 1995 (“PLRA”), which acted to limit the fee award to attorneys performing postjudgment monitoring. *Martin v. Hadix*, 527 U.S. 343, 119 S.Ct. 1998, 144 L.Ed.2d 347 (1999). In that case, the Court held that, despite the PLRA arising while appeal was pending, there was “no manifest injustice in telling an attorney performing postjudgment monitoring services that, going forward, she will earn a lower hourly rate than she had earned in the past.” *Id.* at 361-62. Accordingly, Complainants take exception to the ALJ’s attempt to compare the enactment of a statute placing a cap on the amount attorneys can charge for postjudgment monitoring to the instant case.

Complainants filed their Complaint with the FMC on June 16, 2014, seeking protection from the targeted, discriminatory, and injurious conduct of Respondents. Complainants did so upon full consideration of the laws and statutes in effect at the time they filed their Complaint. Such laws and statutes provided that a complainant would not risk having to pay the attorney fees of a disproportionately wealthy marine terminal operator in the event they were unsuccessful in enforcing their rights through the FMC. In reliance thereon, Complainants initiated this action and accrued approximately \$70,000.00 in attorney fees by December 18, 2014, the date the Coble Act was enacted. The reasoning in the IDR suggests that at that point—after expending significant resources—there would be no injustice in changing the law-of-the-case and requiring Complainants to choose between either (1) forfeiting both the substantial sum

of money they invested in the matter and the opportunity for compensation for the damages they suffered as a result of Respondents violations of the Shipping Act; or, on the other hand, (2) risking the unexpected possibility that the FMC would burden Complainants with the requirement to conform to two versions of the same law, and cause them to pay a substantial portion of the nearly \$500,000.00 that Respondents claim to have incurred in attorneys fees defending their conduct. Complainants respectfully take exception to such reasoning and conclusions.

3. Application of the Coble Act Has Retroactive Effects

Application of the Coble Act to this matter, even in the manner outlined in the IDR, will produce unavoidable retroactive effects. Unless Congress has expressly provided otherwise, courts apply newly enacted statutes with a presumption against retroactivity. *Landgraf v. USI Film Products*, 511 U.S. 244, 263, 114 S.Ct. 1483, 128 L.Ed.2d 229 (1994); *see also Fernandez-Vargas v. Gonzales*, 548 U.S. 30, 37, 126 S.Ct. 2422, 165 L.Ed.2d 323 (2006)(“Accordingly, it has become ‘a rule of general application’ that ‘a statute shall not be given retroactive effect unless such construction is required by explicit language or by necessary implication.”)(quoting *United States v. St. Louis, S.F. & T.R. Co.*, 270 U.S. 1, 3, 46 S.Ct. 182, 70 L.Ed. 435 (1926)). The ALJ, through reference to and adoption of the reasoning applied in the initial decision of *Edaf Antillas*, determined that Congress made no express provision calling for retroactive application of the Coble Act. (IDR at 68 (adopting *Edaf Antillas*, FMC No. 14-04 (ALJ Apr. 15, 2015), at 15.))

A new law has retroactive effect if it “restricts or impairs the plaintiff’s rights of action or the potential recovery available to him under the law in effect when suit was commenced.” *Monoson v. United States*, 516 F.3d 163, 169 (3d Cir. 2008) (citing *Landgraf*, 511 U.S. at 280; *see also Singh v. George Washington Univ. Sch. of Med. and Health Sciences*, 667 F.3d 1, 4

(D.C. Cir. 2011) (“Damages constitute retrospective relief and thus raise retroactivity concerns.”). In *Monoson*, the Third Circuit addressed the issue of a new statute’s interference with an expectation in recovery held by a party. In that case, the statute at issue placed a new cap on a plaintiff’s recovery of noneconomic damages. The court, with due consideration given to the Supreme Court’s decision in *Landgraf*, ruled application of the statute to a pending matter to be impermissibly retroactive. See *Monoson*, 516 F.3d at 168, fn.2 (“We are cognizant of *Landgraf*’s observation that ‘[w]hen [an] intervening statute authorizes or affects the propriety of prospective relief, application of the new provision is not retroactive.’ We reject, however, any attempt by [appellant] to align [appellee’s] expectancy in an award of damages in his civil action with prospective relief. The prospective relief the *Landgraf* Court considered was equitable relief that ‘operate[d] *in futuro*.’”).

When Complainants commenced this action in June of 2014, the recovery available to Complainants upon successfully proving Respondents’ violations of the Shipping Act and Complainants actual injury, was a statutorily mandated recovery of reparations and their attorneys fees—not equitable relief. See 46 U.S.C. § 41305. Upon passing of the Coble Act, which removed Complainants’ guaranteed recovery of attorneys fees, the potential recovery available to Complainants was significantly impaired. See *I.N.S. v. St. Cyr*, 533 U.S. 289, 121 S.Ct. 2271, 150 L.Ed.2d 347 (2001)(Holding as impermissibly retroactive, the application of a statute enacted between pleading and sentencing which replaced a discretionary action with a mandatory action.). The Coble Act did not merely make the recovery of attorneys fees available to respondents in matters before the Commission. Rather, the Coble Act effected substantive change to a complainant’s cause of action for violations of the Shipping Act and granted equitable authority to the Commission where none existed before.

On this issue, the ALJ relies solely on the reasons expressed in the initial decision of *Edaf Antillas* for its decision to apply the Coble Act to this matter. (IDR at 68.) In the ALJ’s decision in *Edaf Antillas*, the ALJ considered application of the Coble Act to a matter in a similar stage of FMC proceedings as the one at hand. *Edaf Antillas*, FMC No. 14-04 (ALJ Apr. 15, 2015). Therein, the ALJ concluded that reasonable attorney fees accruing subsequent to the enactment of the Coble Act were awardable to respondents because doing so “does not upset the reasonable expectations of the parties.” *Id.* at 21. However, in resolving to apply the Coble Act in that manner, only the effects of the addition of section 41305(e)¹¹ to the statute were considered; no consideration was given to the effects of the removal of language from section 41305(b).¹² What was removed from section 41305(b) was not an issue collateral to the cause of action, nor was it an equitable remedy. What was removed was both an affirmative right of recovery and an assurance against liability for a respondent’s attorney fees.

For reasons outlined above, Complainants contend that the removal of a substantive portion of section 41305(b), a portion inextricably intertwined with Complainants cause of action, raises significant issues of retroactivity and bars application of the Coble Act to this matter. Accordingly, where application of the Coble Act to this matter gives rise to retroactive effects, the long-standing presumption against retroactivity should preclude such application.

CONCLUSION

For the foregoing reasons, Complainants submit that the IDR should be reversed, and the Coble Act found impermissibly retroactive for application to this matter.

¹¹ 46 U.S.C. § 41305(e) provides: “Attorney Fees. – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.”

¹² Complainants acknowledge that on page five (5) of that initial decision, it identifies that the amendment has two effects, one being the availability of attorneys fees to a prevailing respondent, and the second being the shift from a mandatory award of attorneys fees to a discretionary award. *Edaf Antillas, Inc.*, FMC No. 14-04 (ALJ Apr. 15, 2015) at 9. However, the analysis in that initial decision considers only section 43105(e) and the implications of asserting the new equitable power granted to the Commission.

Respectfully submitted,

GILMAN *ALLISON LLP



Douglas T. Gilman
Texas Bar No. 24048496
Federal I.D. No. 19897
Brenton J. Allison
Texas Bar No. 24040417
Federal I.D. No. 36863
Michael S. Prejean
Texas Bar No. 24092993
Federal I.D. No. 2513911
2005 Cullen Blvd.
Pearland, Texas 77581
Telephone: (713) 224-6622
Facsimile: (866) 543-3643

**Attorneys for Complainants Santa Fe
Discount Parking, Inc. d/b/a EZ Cruise
Parking, Lighthouse Parking, Inc., and
Sylvia Robledo d/b/a 81st Dolphin
Parking**

CERTIFICATE OF SERVICE

I hereby certify that I electronically filed this document on this **7th day of December, 2018**, and that a true and correct copy of the foregoing was served on all counsel of record *via* certified mail – return receipt requested and email, as indicated below:

Anthony P. Brown
MCLEOD, ALEXANDER, POWEL & APFFEL, P.C.
P.O. Box 629
Galveston, Texas 77553

apbrown@mapalaw.com

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AND GALVESTON PORT FACILITIES CORPORATION**



Douglas T. Gilman